

The price of disability

SKYLAR LAIRD/Missourian

Under federal law, people with disabilities can be paid less than minimum wage. In Missouri, nearly 6,000 people work in sheltered workshops, where they do jobs like packaging, painting, sorting, folding, mailing and sewing. They make anywhere from \$1 to \$18 per hour. Employees and their families say workshops are often their best option.

The long history of subminimum wage

The exception in minimum wage law for people with disabilities has existed since the law was first established.

1938

The Fair Labor Standards Act passes, including section 14(c), which allows people with disabilities to be paid below minimum wage.

1965

A U.S. senator introduces a bill that would create a floor for subminimum wages. It does not pass.

2002

Vermont is the first state to ban sheltered workshops. In coming years, 11 other states will follow.

2014

The Workforce Innovation and Opportunity Act is passed, which mandates vocational training for workers with disabilities.

2014

President Barack Obama establishes a minimum wage for federal contractors, including those with disabilities.

2017

The Missouri legislature votes to reaffirm its support of sheltered workshops.

2019

Several attempts are made at a federal level to get rid of the subminimum wage exemption. None are passed.

2021

Gov. Mike Parson signs a bill into law that state departments hope will act as a safeguard for workshops against federal legislation.

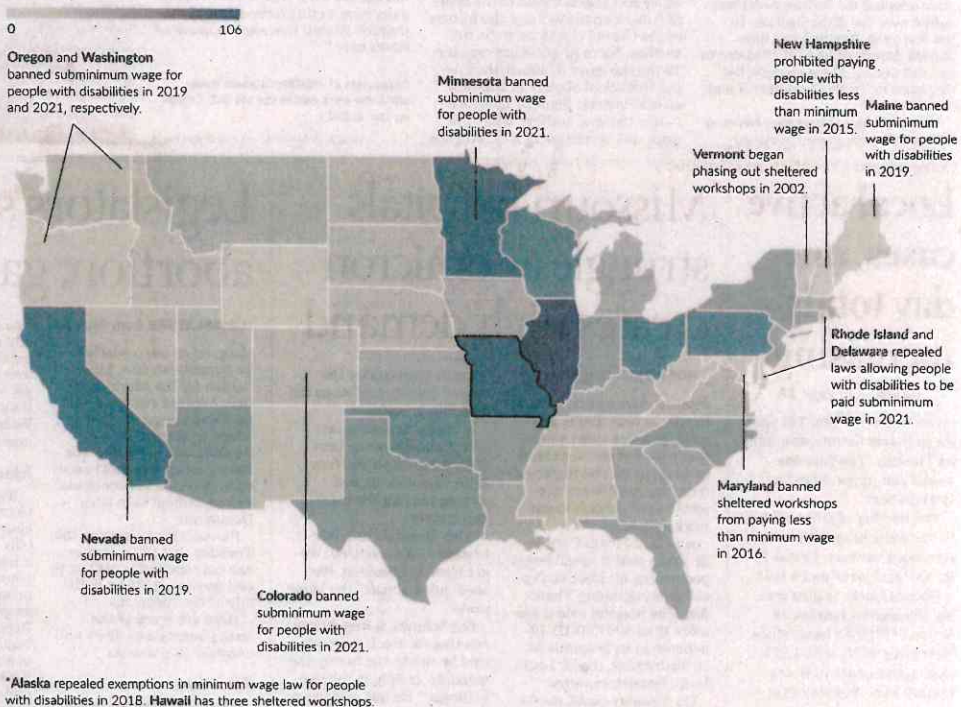
Different wages for different workshops

Missouri's sheltered workshops pay an average of \$5.15 per hour, half Missouri's 2021 minimum wage. Pay is often based on a worker's productivity, meaning workers who are able to produce more make more, and vice versa.



Missouri is second in the U.S. for sheltered workshops

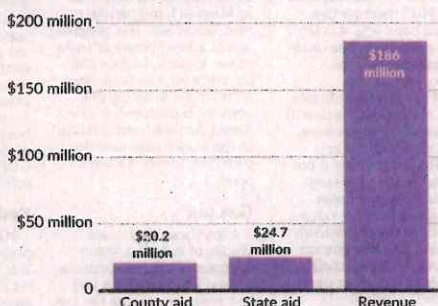
Missouri has 87 companies operating at 95 locations. It follows only Illinois' 106 workshops. A recent push against subminimum wage has resulted in bans on the practice in at least 12 states.



Who's paying?

The funds for Missouri's sheltered workshops come from state and county aid, along with sales revenue from the businesses themselves. Missouri is the **only state** in the country that does not accept federal aid for its workshops.

FY21 Missouri sheltered workshop funding



Who's profiting?

Total wages do not account for the number of workers. The average yearly wage per certified employee was just over \$4,000 in FY21, while some executives took home hundreds of thousands of dollars, according to 990 form data.

FY21 Missouri sheltered workshop worker wages

